

Asset allocation continued

Figure 7.3 | Weighted average asset allocation in total assets

The proportions of assets invested in equities continues to decline.

| Year/ <i>The Purple Book</i> dataset | Asset class                    |       |                   |                   |          |           |                          |                  |                    |             |               |
|--------------------------------------|--------------------------------|-------|-------------------|-------------------|----------|-----------|--------------------------|------------------|--------------------|-------------|---------------|
|                                      | Breakdown of other investments |       |                   |                   |          |           |                          |                  |                    |             |               |
|                                      | Equities                       | Bonds | Other investments | Cash and deposits | Property | Annuities | Diversified growth funds | Absolute returns | Insurance policies | Hedge funds | Miscellaneous |
| 2006                                 | 61.1%                          | 28.3% | 10.6%             | 2.3%              | 4.3%     | –         | –                        | –                | 0.9%               | –           | 3.1%          |
| 2011                                 | 41.1%                          | 40.1% | 18.8%             | 4.1%              | 4.4%     | –         | –                        | –                | 1.6%               | 2.4%        | 6.3%          |
| 2016                                 | 30.3%                          | 51.3% | 18.4%             | 3.0%              | 4.8%     | 2.1%      | –                        | –                | 0.1%               | 6.6%        | 1.7%          |
| 2017                                 | 29.0%                          | 55.7% | 15.3%             | –0.9%             | 5.3%     | 3.3%      | –                        | –                | 0.1%               | 6.7%        | 0.8%          |
| 2018                                 | 27.0%                          | 59.0% | 14.0%             | –2.5%             | 4.8%     | 3.4%      | –                        | –                | 0.1%               | 7.0%        | 1.2%          |
| 2019                                 | 24.0%                          | 62.8% | 13.2%             | –4.4%             | 5.0%     | 4.0%      | –                        | –                | 0.3%               | 7.4%        | 1.0%          |
| 2020                                 | 20.4%                          | 69.2% | 10.4%             | –7.2%             | 4.9%     | 5.0%      | –                        | –                | 0.1%               | 6.8%        | 0.8%          |
| 2021                                 | 19.0%                          | 72.0% | 9.1%              | –9.5%             | 4.7%     | 6.6%      | –                        | –                | 0.1%               | 6.1%        | 0.9%          |
| 2022                                 | 19.5%                          | 71.6% | 8.9%              | –8.8%             | 4.6%     | 6.8%      | –                        | –                | 0.1%               | 5.2%        | 1.0%          |
| 2023 restated                        | 18.8%                          | 66.5% | 14.7%             | –3.3%             | 5.3%     | 7.3%      | 1.5%                     | 3.0%             | –                  | –           | 0.9%          |
| 2024                                 | 15.5%                          | 69.8% | 14.7%             | –5.4%             | 5.9%     | 9.7%      | 1.0%                     | 2.6%             | –                  | –           | 0.9%          |

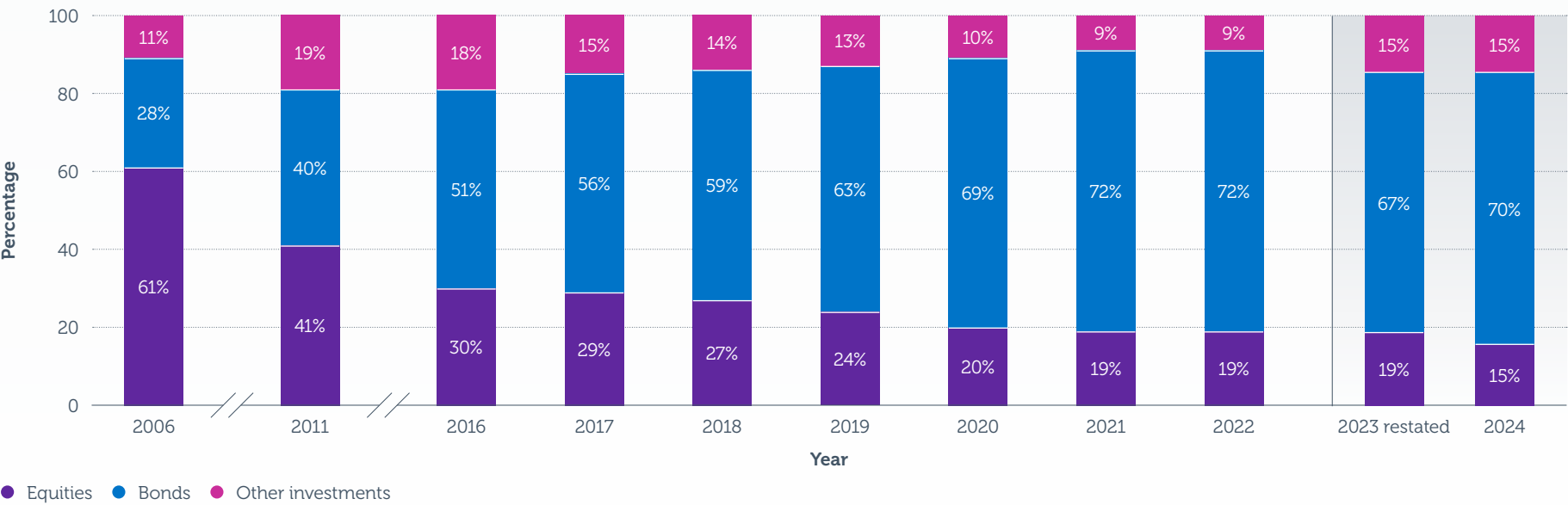
Note: figures may not sum to 100 per cent or the 'Other investments' total because of rounding.

The category 'bonds' represents those physically held as well as other investments whose economic characteristics resemble bonds, such as LDI.

From 2023 the categories 'insurance policies' and 'hedge funds' have been discontinued. There became two new categories: 'diversified growth funds' and 'absolute returns'.

The weighted average proportion of assets held in cash and deposits is negative. Negative cash holdings are likely to relate to investments such as swaps and repurchase agreements held as part of LDI strategies.

‘–’ indicates either that schemes may have been invested in these asset classes but the percentages could not be determined from the data held at the time, or because the category is new or no longer exists.



Note: figures may not sum to 100 per cent because of rounding.

Source: PPF

Figure 7.4 | Asset allocation: simple averages

The simple average proportion in cash and deposits is, as last year, more negative than the weighted average, perhaps suggesting that larger schemes have a smaller negative proportion in cash than small schemes have.

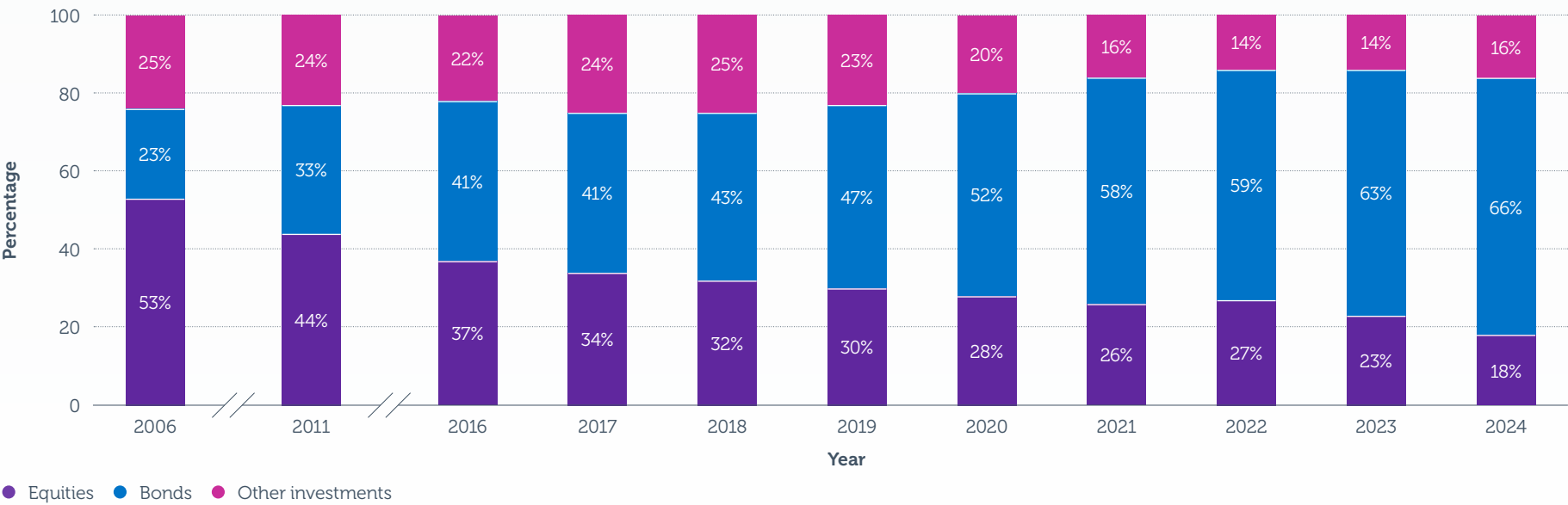
| Year/ <i>The Purple Book</i> dataset | Asset class                    |       |                   |                   |          |           |                          |                  |                    |             |               |
|--------------------------------------|--------------------------------|-------|-------------------|-------------------|----------|-----------|--------------------------|------------------|--------------------|-------------|---------------|
|                                      | Breakdown of other investments |       |                   |                   |          |           |                          |                  |                    |             |               |
|                                      | Equities                       | Bonds | Other investments | Cash and deposits | Property | Annuities | Diversified growth funds | Absolute returns | Insurance policies | Hedge funds | Miscellaneous |
| 2006                                 | 52.6%                          | 22.6% | 24.8%             | 3.9%              | 2.1%     | –         | –                        | –                | 14.9%              | –           | 3.6%          |
| 2011                                 | 43.7%                          | 32.6% | 23.7%             | 4.9%              | 2.7%     | –         | –                        | –                | 11.8%              | 1.0%        | 3.3%          |
| 2016                                 | 36.8%                          | 41.1% | 22.1%             | 5.4%              | 3.7%     | 2.4%      | –                        | –                | 1.2%               | 7.9%        | 1.5%          |
| 2017                                 | 34.5%                          | 41.4% | 24.1%             | 3.6%              | 3.7%     | 6.8%      | –                        | –                | 0.7%               | 7.9%        | 1.3%          |
| 2018                                 | 32.4%                          | 43.1% | 24.5%             | 1.8%              | 3.3%     | 8.9%      | –                        | –                | 0.6%               | 8.5%        | 1.4%          |
| 2019                                 | 30.4%                          | 47.0% | 22.7%             | –0.8%             | 3.4%     | 9.4%      | –                        | –                | 0.5%               | 8.9%        | 1.3%          |
| 2020                                 | 27.8%                          | 52.3% | 19.9%             | –3.2%             | 3.4%     | 9.7%      | –                        | –                | 0.6%               | 7.9%        | 1.7%          |
| 2021                                 | 25.8%                          | 58.0% | 16.3%             | –6.6%             | 3.2%     | 10.6%     | –                        | –                | 0.6%               | 6.9%        | 1.7%          |
| 2022                                 | 27.1%                          | 58.5% | 14.4%             | –7.5%             | 3.0%     | 10.7%     | –                        | –                | 0.6%               | 6.0%        | 1.6%          |
| 2023                                 | 23.1%                          | 62.9% | 14.0%             | –10.8%            | 2.8%     | 11.5%     | 6.7%                     | 1.7%             | –                  | –           | 1.9%          |
| 2024                                 | 17.8%                          | 66.1% | 16.1%             | –8.9%             | 2.8%     | 13.8%     | 5.2%                     | 1.3%             | –                  | –           | 1.9%          |

Note: figures may not sum to 100 per cent or the 'Other investments' total because of rounding.

From 2023 the categories 'insurance policies' and 'hedge funds' have been discontinued. There are two new categories: 'diversified growth funds' and 'absolute returns'.

The simple average proportion of assets held in cash and deposits being negative represents a large number of schemes with significant negative cash holdings which are likely to be related to investments such as [swaps](#) and [repurchase agreements](#).

‘–’ indicates either that schemes may have been invested in these asset classes but the percentages could not be determined from the data held at the time, or because the category is new or no longer exists.



Note: figures may not sum to 100 per cent because of rounding.

Source: PPF

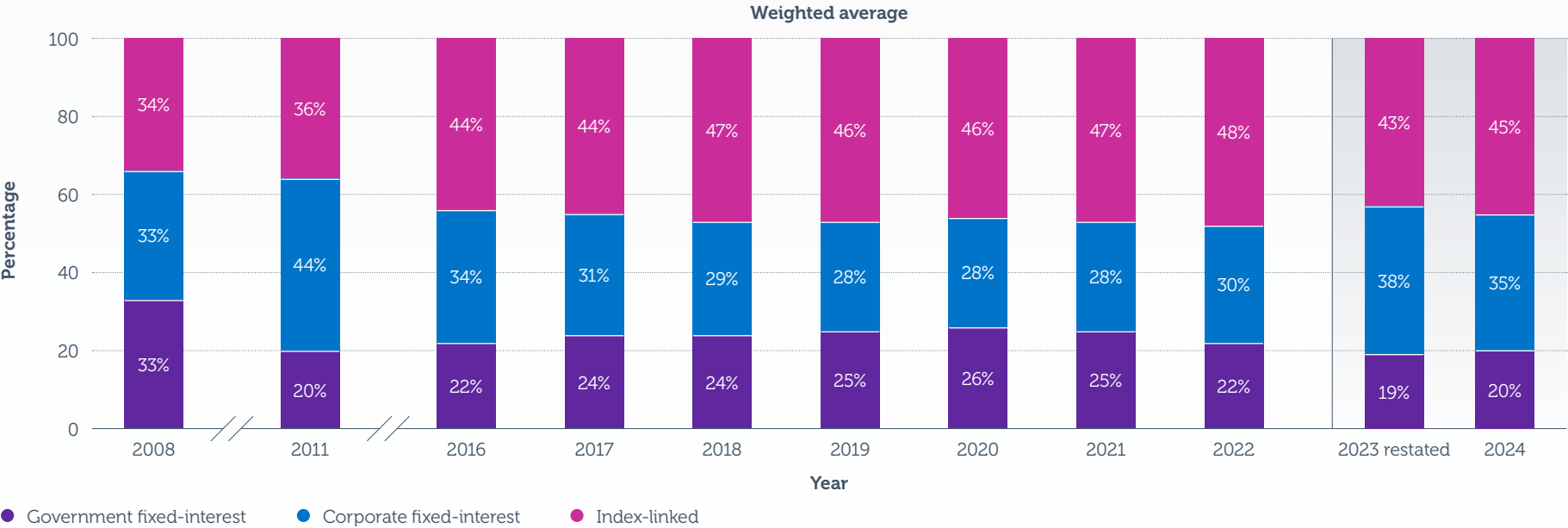
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Figure 7.5 | Bond splits – high-level breakdown

The proportions of the high-level types of bonds have remained relatively stable compared to last year.

| Year/ <i>The Purple Book</i> dataset | Weighted average          |                          |              | Simple average            |                          |              |
|--------------------------------------|---------------------------|--------------------------|--------------|---------------------------|--------------------------|--------------|
|                                      | Government fixed-interest | Corporate fixed-interest | Index-linked | Government fixed-interest | Corporate fixed-interest | Index-linked |
| 2008                                 | 33.2%                     | 32.6%                    | 33.9%        | 47.2%                     | 33.0%                    | 19.8%        |
| 2011                                 | 19.6%                     | 44.3%                    | 36.1%        | 31.2%                     | 47.1%                    | 21.7%        |
| 2016                                 | 21.9%                     | 33.7%                    | 44.4%        | 24.4%                     | 49.0%                    | 26.6%        |
| 2017                                 | 24.1%                     | 31.4%                    | 44.5%        | 25.9%                     | 46.8%                    | 27.3%        |
| 2018                                 | 24.1%                     | 28.8%                    | 47.1%        | 27.2%                     | 42.1%                    | 30.8%        |
| 2019                                 | 25.4%                     | 28.4%                    | 46.2%        | 29.0%                     | 38.9%                    | 32.1%        |
| 2020                                 | 25.9%                     | 28.0%                    | 46.1%        | 29.4%                     | 36.1%                    | 34.6%        |
| 2021                                 | 24.6%                     | 28.2%                    | 47.2%        | 30.4%                     | 34.8%                    | 34.8%        |
| 2022                                 | 22.0%                     | 30.2%                    | 47.8%        | 30.2%                     | 35.7%                    | 34.1%        |
| 2023 restated*                       | 19.1%                     | 37.6%                    | 43.3%        | 25.6%                     | 36.9%                    | 37.5%        |
| 2024                                 | 19.5%                     | 35.0%                    | 45.5%        | 27.6%                     | 35.3%                    | 37.1%        |

\* Weighted average only.  
Note: the rows may not sum to 100 per cent because of rounding.



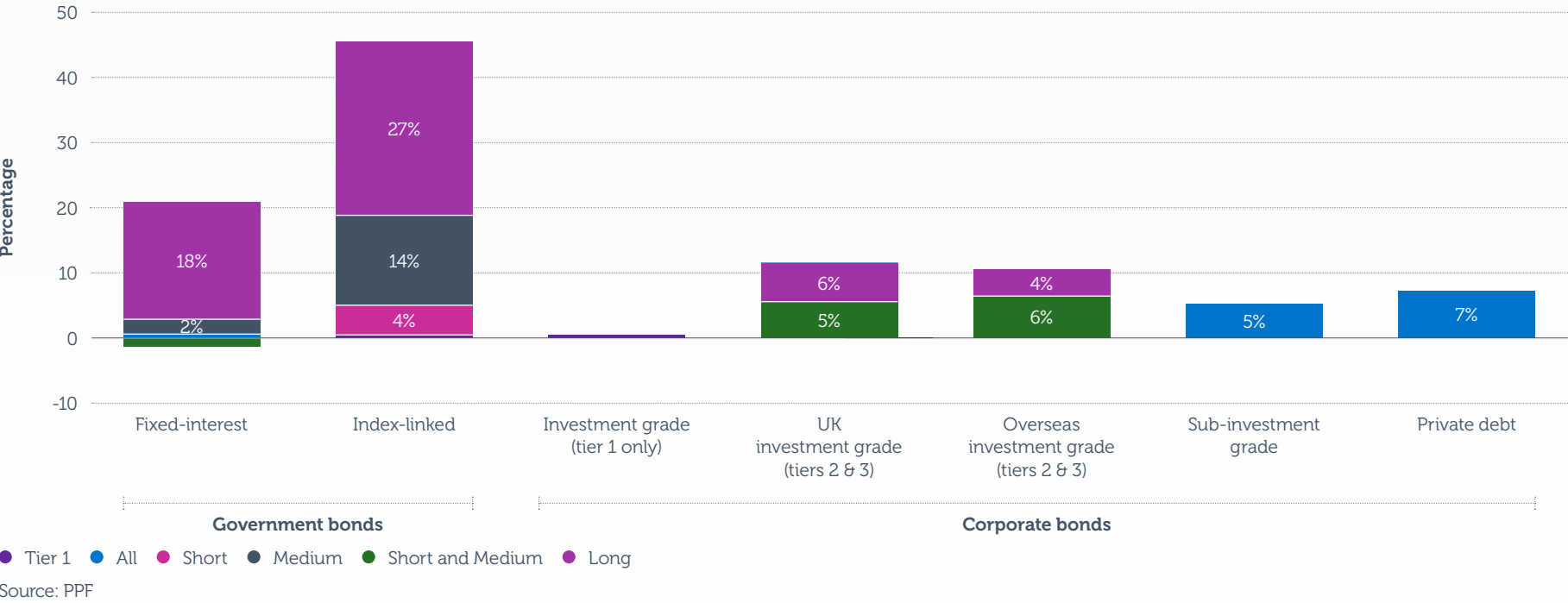
Source: PPF  
Note: figures may not sum to 100 per cent because of rounding.

Figure 7.6 | Bond splits – granular breakdown of *The Purple Book 2024* dataset

Government fixed-interest and index-linked bonds are mostly long-dated. Investment grade corporate bond proportions are balanced between territory and term.

| Bond category                       | Weighted average |        |       |        |                  |       |             |
|-------------------------------------|------------------|--------|-------|--------|------------------|-------|-------------|
|                                     | All              | Tier 1 | Short | Medium | Short and medium | Long  | Unassigned* |
| Government fixed-interest           | 19.5%            | 0.4%   | −1.4% | 2.5%   | –                | 18.0% | 0.0%        |
| Index-linked                        | 45.5%            | 0.5%   | 4.5%  | 13.8%  | –                | 26.7% | 0.0%        |
| Corporate fixed-interest, of which: | 35.0%            | –      | –     | –      | –                | –     | –           |
| Investment grade                    | 0.4%             | 0.4%   | –     | –      | –                | –     | –           |
| UK investment grade                 | 11.5%            | –      | –     | –      | 5.5%             | 6.0%  | –           |
| Overseas investment grade           | 10.5%            | –      | –     | –      | 6.4%             | 4.1%  | –           |
| Sub-investment grade                | 5.3%             | –      | –     | –      | –                | –     | –           |
| Private debt                        | 7.3%             | –      | –     | –      | –                | –     | –           |
| Total                               | 100%             | 1.3%   | 3.1%  | 16.3%  | 11.9%            | 54.8% | 0.0%        |

\* 'Unassigned' is generally where a scheme is in tiers 2 or 3 but did not provide the granular breakdown.



Source: PPF

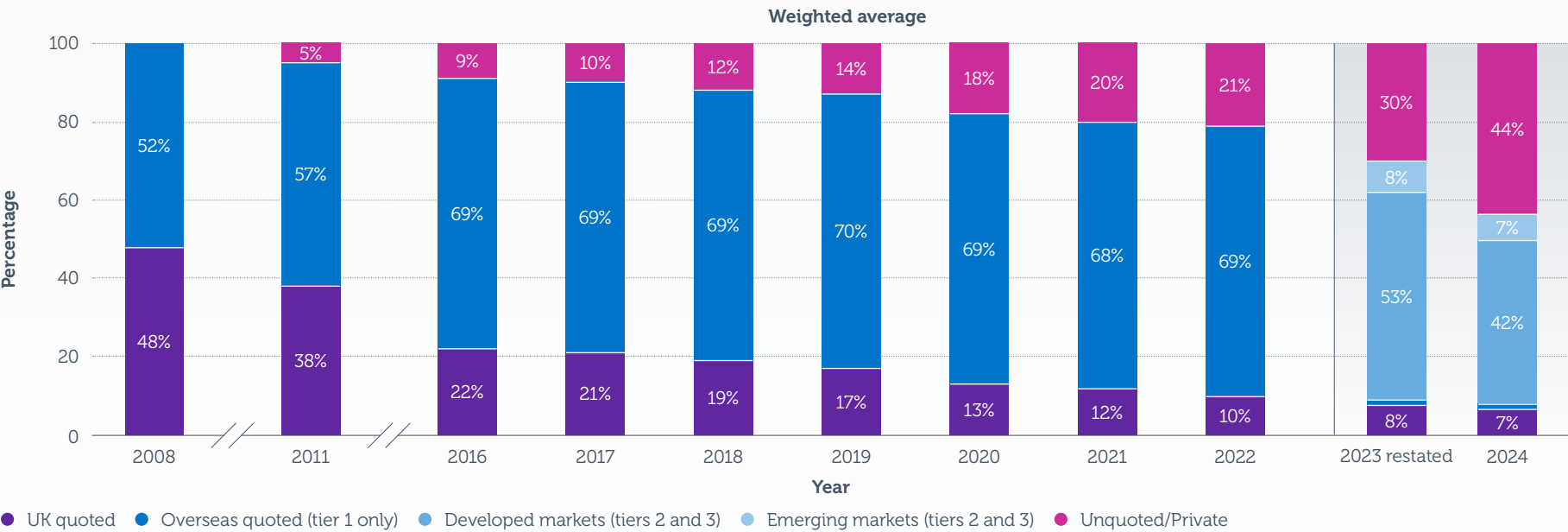
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Figure 7.7 | Equity splits

Within equities, the proportion invested in UK equities continued to fall, but over the last year there was a sharper drop in the proportion invested in overseas equities, in favour of private or unquoted equity, whose proportion has risen to over 40 per cent.

| Year/ <i>The Purple Book</i> dataset | Weighted average |                                         |                                   |                                  |                  | Simple average |                                         |                                   |                                  |                  |
|--------------------------------------|------------------|-----------------------------------------|-----------------------------------|----------------------------------|------------------|----------------|-----------------------------------------|-----------------------------------|----------------------------------|------------------|
|                                      | UK quoted        | Overseas quoted (tier 1 only from 2023) | Developed markets (tiers 2 and 3) | Emerging markets (tiers 2 and 3) | Unquoted/Private | UK quoted      | Overseas quoted (tier 1 only from 2023) | Developed markets (tiers 2 and 3) | Emerging markets (tiers 2 and 3) | Unquoted/Private |
| 2008                                 | 48.2%            | 51.8%                                   | –                                 | –                                | –                | 60.4%          | 39.6%                                   | –                                 | –                                | –                |
| 2011                                 | 38.0%            | 57.2%                                   | –                                 | –                                | 4.8%             | 52.7%          | 46.1%                                   | –                                 | –                                | 1.2%             |
| 2016                                 | 22.4%            | 68.6%                                   | –                                 | –                                | 9.0%             | 38.8%          | 58.6%                                   | –                                 | –                                | 2.6%             |
| 2017                                 | 20.5%            | 69.0%                                   | –                                 | –                                | 10.5%            | 36.3%          | 61.0%                                   | –                                 | –                                | 2.7%             |
| 2018                                 | 18.6%            | 69.4%                                   | –                                 | –                                | 12.0%            | 32.1%          | 65.0%                                   | –                                 | –                                | 3.0%             |
| 2019                                 | 16.6%            | 69.7%                                   | –                                 | –                                | 13.7%            | 29.6%          | 66.7%                                   | –                                 | –                                | 3.7%             |
| 2020                                 | 13.3%            | 69.0%                                   | –                                 | –                                | 17.7%            | 26.9%          | 68.4%                                   | –                                 | –                                | 4.8%             |
| 2021                                 | 11.6%            | 68.3%                                   | –                                 | –                                | 20.1%            | 24.9%          | 69.4%                                   | –                                 | –                                | 5.8%             |
| 2022                                 | 9.9%             | 68.6%                                   | –                                 | –                                | 21.5%            | 22.5%          | 70.9%                                   | –                                 | –                                | 6.6%             |
| 2023 restated*                       | 76%              | 1.4%                                    | 53.0%                             | 8.0%                             | 30.0%            | 20.3%          | 28.7%                                   | 37.1%                             | 4.7%                             | 9.3%             |
| 2024                                 | 6.6%             | 1.4%                                    | 41.7%                             | 6.7%                             | 43.6%            | 17.7%          | 29.8%                                   | 33.9%                             | 4.4%                             | 14.2%            |

\* Weighted average only.  
Note: the rows may not sum to 100 per cent because of rounding.



Note: figures may not sum to 100 per cent because of rounding.

Starting with the 2023 scheme return, ‘overseas quoted’ is now split into two categories for tier 2 and 3 schemes – ‘developed markets’ and ‘emerging markets’. The three overseas equity categories in shades of blue in the bars for 2023 onwards should be compared with the blue bars in the years prior to 2023.

Source: PPF

Figure 7.8 | Weighted average asset allocation of schemes by asset size

Schemes with assets less than £10 million have a lower proportion of their assets invested in bonds, with a higher proportion invested in annuities and equities.

| Asset size | Equities | Bonds | Cash and deposits | Property | Annuities | Diversified growth funds | Absolute returns | Miscellaneous |
|------------|----------|-------|-------------------|----------|-----------|--------------------------|------------------|---------------|
| Under £5m  | 21.6%    | 52.5% | -3.4%             | 2.9%     | 16.8%     | 6.6%                     | 0.1%             | 2.9%          |
| £5m–£10m   | 21.3%    | 58.8% | -8.0%             | 2.4%     | 15.2%     | 8.3%                     | 0.3%             | 1.7%          |
| £10m–£50m  | 16.6%    | 71.5% | -12.3%            | 2.2%     | 13.4%     | 5.5%                     | 1.5%             | 1.6%          |
| £50m–£100m | 15.7%    | 77.1% | -14.0%            | 2.8%     | 11.5%     | 2.7%                     | 2.4%             | 1.8%          |
| £100m–£1bn | 14.3%    | 74.7% | -11.9%            | 3.9%     | 13.8%     | 1.3%                     | 2.8%             | 1.1%          |
| Over £1bn  | 15.7%    | 68.0% | -2.5%             | 6.9%     | 8.0%      | 0.5%                     | 2.6%             | 0.8%          |

